

Strategy Settings Optimization — Executive Summary

Provider: openai | Model: gpt-4o-mini | Prompt tokens: 2221 | Output tokens: 908 | Total: 3129

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- ****Ichimoku Parameter Adjustments:****
 - ****Tenkan Period:**** Reduce from 9 to 7 for increased responsiveness to price changes.
 - ****Kijun Period:**** Shorten from 26 to 20 to enhance entry and exit timing.
 - ****Senkou B Period:**** Adjust from 52 to 50 to better align with current market conditions.
 - ****Chikou Offset:**** Decrease from 26 to 20 for earlier signals aligned with price action.
 - ****Senkou Offset:**** Shorten from 26 to 20 to improve cloud predictive quality.
- ****Signal Logic Enhancements:****
 - Maintain strict AND logic for buy and sell signals to ensure confirmation and reduce false signals.
 - Add condition: "Chikou Above Price" to strengthen buy signals.
- ****Risk Management Improvements:****
 - Tighten stop loss from 3% to 2% to minimize losses during volatility.
 - Introduce a take profit level at 5% to lock in gains effectively.
 - Transition from fixed to volatility-based position sizing for optimized capital allocation.
- ****Proposed Experiments:****
 - Conduct a walk-forward grid optimization for Ichimoku parameters.
 - Implement a trend filter A/B test to evaluate the impact of additional conditions on performance.

Recommended setting changes:

- `tenkan_period`: current=9, suggested=7. Reducing the tenkan period may increase responsiveness to price changes, potentially capturing more short-term trends.
- `kijun_period`: current=26, suggested=20. A shorter kijun period can enhance the strategy's ability to react to market movements, improving entry and exit timing.
- `senkou_b_period`: current=52, suggested=50. Slightly adjusting the senkou B period can help align the cloud with current market conditions, enhancing support/resistance levels.
- `chikou_offset`: current=26, suggested=20. Reducing the chikou offset can provide earlier signals by aligning it closer to current price action.
- `senkou_offset`: current=26, suggested=20. A shorter senkou offset may improve the predictive quality of the cloud, allowing for better trend identification.
- Signal logic:
 - `buy_logic`: AND -> AND (Maintaining the AND logic ensures strict confirmation of signals, which is crucial for risk management.)
 - `sell_logic`: AND -> AND (Keeping the AND logic for sell signals helps to avoid false exits, preserving gains.)
 - `add_conditions`: ['ChikouAbovePrice']
- Risk management:
 - `stop_loss_pct`: 3.0 -> 2.0 (Tightening the stop loss can help minimize losses during volatile market conditions.)
 - `take_profit_pct`: None -> 5.0 (Implementing a take profit level can lock in gains and improve overall risk-adjusted returns.)
 - `position_sizing`: fixed -> volatility (Switching to a volatility-based position sizing can optimize capital allocation based on market conditions.)

Experiments to run:

- Walk-forward grid: Optimize Ichimoku parameters through a systematic grid search.
- Trend filter A/B: Test the impact of additional trend confirmation conditions.